

fails to meet the basic active management goal of providing market-beating returns . . . A well-constructed academic study conservatively puts the pre-tax failure rate at 78 to 95 percent for periods ranging from ten to twenty years [as measured against the Vanguard S&P 500 Index Fund]. . . .

Investors fare best with funds managed by not-for-profit organizations because the management firm focuses exclusively on serving investor interests. No profit motive conflicts with the manager's fiduciary responsibility. No profit margin interferes with investor returns. No outside corporate interest clashes with portfolio management choices. Not-for-profit firms place investor interest front and center. Ultimately, a passive index fund managed by a not-for-profit investment management organization represents the combination most likely to satisfy investor aspirations . . . Out of the enormous breadth and complexity of the mutual-fund world, the preferred solution for investors stands alone in stark simplicity.

In a word, *amen*.

Swensen's apt tribute to an uncluttered, client-focused strategy combined with a simple client-focused structure serves as profound reaffirmation of the fact that our financial system today has quite enough complexity and innovation—with their grossly excessive costs—and not nearly enough simplicity, with its minimal dilution of investor earnings.